Distressed Debt Investing
5/12/25
Class 8: Office Properties Income Trust Part II

Background

Please review the documents listed below and respond to the questions. Like last week, please create a PPT slide for each numbered question in the question list. Use the PPT template from last week as a guide. Do your underlying work in Excel and paste your output into the PPT slides. When you submit, please attach both the excel sheet and the PPT file you create. Submit your response directly to Canvas by 12pm CT on Monday 5/11.

Document List

6. 3.16.26 – disclosure statement and second amended plan
7. 3.31.26 – settlement term sheet with 2027 bonds
8. 4.5.26 – DIP equitization announcement
9. 4.8.26 – third amended plan
10. 4.20.26 – Murray declaration
11. 4.21.26 – revised order approving equity rights offering procedures

Question List

1. Claim Classification & Voting. How many classes of claims are there? Which are entitled to vote? Which are deemed to accept? Which are deemed to reject?

2. Deficiency Claims. Consider secured claims whose collateral is insufficient to fully repay the claims. How do these claims get treated in Chapter 11? Which claims in the OPI case are considered to be "under-secured"?

3. Changes from RSA. Outline by stakeholder the changes in treatment from RSA to filing of disclosure statement.

4. Key Case Settlements. Explain settlements with UCC, 2027 Noteholders, and March 2029 Noteholders. What were key issues in each of the disputes and key terms of settlements with each group? For the 2027 note settlement in particular, explain the significance of the support fee vs. principal paydown for the 2027s – which is better? Based on the 2027 settlement, what is the minimum amount of excess value in the properties serving as collateral for the 2027 Notes? How did you determine that and where did you find the info?

5. New Capital Structure. What does new capital structure look like? Please lay out by tranche.

6. Financial Projections. Please review the financial projections prepared by the debtor. Where did you find these numbers?

7. Plan TEV and Plan Equity Value. Where are the plan TEV and plan equity values being set? Please include exact numbers in your response. Are all assets of the prepetition company included? What are the incentives of the various stakeholders as it relates to where to set plan TEV and plan equity value?

8. <u>Post-Reorg Equity Splits</u>. Please provide your calculations for allocations of the post-reorganization equity amounts as split between the DIP (inclusive of upfront fee, exit fee, anchor fee), the equity rights offering (inclusive of backstop commitment fee), the 2029 secured claims, the 2029 deficiency claims, unsecured notes claims, the guaranteed priority notes, and the initial equity compensation (which is the management incentive plan). Remember that the plan equity value is set at a specific number. Use this plan equity value number as the denominator when doing the calculations in this question 9. Remember that the DIP has multiple components, and some of the components convert to common equity at a discount to the overall plan equity value number while other components of the DIP convert to common equity at the stated equity plan value number. And similarly, the participants in the equity rights offering are able to buy equity in the reorganized OPI at a discount to plan value. Please refer to document 11 (and the notes in the document) for additional details that will help with your calculations on the equity rights offering in particular.

9. <u>Go-Forward IRR for 2029 Notes</u>. Assume you are a large investor in the Sept 2029 secured notes who purchases the notes on 5/1/26 for 81c. What is your estimated go-forward IRR on your total investment (when considering both the new secured notes you receive and the new equity you receive)? Assume that you sell the secured notes at the hypothetical emergence date of 7/5/26 and that you exit the common equity investment on 12/31/26.

10. <u>Go-Forward IRR for DIP Lenders (Equitization Case)</u>. Similarly, please calculate go-forward IRRs and MOICs for an investor in the DIP assuming the DIP gets equitized. Please show two cases, one assuming a DIP investor who is earning the anchor fee and the second assuming the DIP investor who is not earning the anchor fee.